

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 22-23

MARINE TRANSPORT LOGISTICS, INC.

v.

CMA CGM (AMERICA) LLC and CMA CGM, S.A.

RESPONDENT’S MOTION TO STRIKE

Respondent CMA CGM, S.A. (“Respondent” or “CMA”) hereby moves for the Presiding Officer to strike or disregard a few specific portions of Complainant Marine Transport Logistics, Inc.’s (“Complainant or MTL”) Reply Brief, on the ground that it includes new argument and evidence that was required to be in the Opening Brief, if at all. If the Presiding Officer decides not to strike the improper new argument/evidence (as caselaw says she should), CMA requests as an inadequate alternative that she allow CMA to submit a sur-reply addressing the new material, as the courts have required. The grounds for the motion are more fully set forth in our supporting Memorandum, immediately below.

Counsel for Respondent has conferred with Counsel for MTL, who stated that MTL opposes this motion.

INTRODUCTION

Complainant argues—for the first time in its Reply Brief—that it has identified “a true and accurate representation of the income and expenses” of consignees Kodryanka and Almotwasit. Having not been raised this argument or evidence in its Original Brief, MTL has waived the right to do so in its Reply Brief.

But MTL has not only introduced new arguments in its Reply Brief; it has actually introduced new “evidence,” as well. Along with its Reply Brief, Complainant submitted Exhibits_55, 56, and 57 (the “New Reply Exhibits”). The New Reply Exhibits were not part of Complainant’s Appendix that was required, pursuant to the Presiding Officer’s Order, to be submitted alongside Complainant’s Brief. *See* Chief ALJ Wirth’s February 27, 2024 Order, p. 2. Nor were the New Reply Exhibits otherwise previously submitted into the record or even produced by MTL to CMA any time prior to the Reply Brief, much less the close of discovery. In fact, the New Reply Exhibits did not even *exist* prior to the close of discovery. This alone is reason enough for the Presiding Officer to disregard the New Reply Exhibits.

But it is not the only reason. Judged on their substance, the New Reply Exhibits fare no better than the exhibits filed with Complainants’ Opening Brief. Exhibit_55 purports to show lost profits relating to claimed MTL customer Kodryanka. Exhibit_55 is thus completely new. It was never produced to Respondent in discovery; nor was it included in the original Appendix. Moreover, MTL never discussed lost profits in its Opening Brief, only lost revenues.

Similarly, Exhibit_56 purports to serve as proof of the lost profits relating to alleged customer Almotwasit. As with Exhibit_55, Exhibit _56 is completely new and was neither produced in discovery nor included in the original Appendix.

Exhibit _57 is a new affidavit from Complainant’s President Alla Solovyeva “certifying” Exhibit_55 and Exhibit_56. This freshly executed affidavit, like the documents it purports to “certify,” was created last week and relates to documents not produced in discovery or submitted with the original Appendix.¹

¹ For example, Ms. Solovyeva’s May 13, 2024 affidavit states that “looking at just two years (2020 and 2021) in the transaction history [between MTL and Almotwasit], the volume of business yields

Complainant's attempt to raise new arguments and evidence in the last brief constitutes impermissible sandbagging, and so must be stricken or disregarded by the Presiding Officer.

In the alternative, Respondent moves for leave to file the sur-reply. If the New Reply Exhibits and Reply Brief are allowed to remain in the record, due process requires, at a minimum, that Respondent be afforded an opportunity to respond.

ARGUMENT

1. Raising New Arguments or Evidence in a Reply Brief is Forbidden

Submitting new argument or (especially) evidence in a reply brief is commonly known as "sandbagging." It is uniformly prohibited by courts everywhere. As the court explained in *Maher v. Rowen Grp, Inc.*, 2015 WL 273315 at *6 (N.D. Ill. 2015) (emphasis added), for example:

"[W] will not consider new arguments raised on reply. This sort of *sandbagging* is inappropriate, as reply briefs are for replying, not for new matters that could and ought to have been advanced in the opening brief."

Likewise, in *Lisa M. v. Kijakazi*, 2021 WL 4804073 (Magistrate, N.D. Ill. 2021) (citations omitted), the court stated:

"Arguments raised for the first time in a reply brief are waived. It is a forbidden tactic that is everywhere disallowed. The doctrine is deemed necessary to prevent 'sandbagging.'"

In *Corson and Gruman Co. v. NLRB*, 899 F.2d 47, 50 n.4 (D.C. Cir. 1990) (emphasis added), the D.C. Circuit explained: "***We require petitioners and appellants to raise all of their arguments in the opening brief*** to prevent "sandbagging" of appellees and respondents and to provide opposing counsel the chance to respond."

approximately \$326,000." Complainant's Exhibit 27C, p. 2. However, Ms. Solovyeva's June 26, 2024 testimony is completely new and says something different.

And in *In re Basquez*, 2020 WL 6929242 at *8 (C.D. Cal. 2020), the court ordered that the newly proffered evidence be “stricken,” explaining:

“[I]t is unfair to opposing parties for a moving party to include new evidence with a reply brief. All evidence in support of a motion should be included in the initial moving papers. In rare instances, it may be appropriate to include evidence with reply papers (i.e., if the evidence was not available when the motion was filed). But ***in nearly all circumstances procedural fairness requires that moving parties present all the evidence upon which they intend to rely before the deadline for which opposing parties must respond to the motion.*** . . . Attempting to present evidence after the opposing parties no longer have an opportunity to respond to a motion is inherently unfair and improper.”

As these cases indicate, courts uniformly strike, disregard, or (at a minimum) refuse to consider new arguments or evidence presented for the first time in a reply brief.²

2. The Procedural Schedule Does Not Provide for a Supplementary Appendix

² See, e.g., *Burnham v. City of Rohnert Park*, 1992 WL 672965, at *1 n. 2 (N.D. Cal. 1992) (“reply briefs are limited in scope to matters either raised by the opposition or unforeseen at the time of the original motion”) (citing *Lujan v. National Wildlife Federation*, 497 U.S. 871, (1990)); *Morris v. Guetta*, 2013 WL 440127, *8 (C.D. Cal. Feb. 4, 2013) (“New evidence submitted as part of a reply is improper” because the opposing party is deprived of the opportunity to respond); *Knipe v. Skinner*, 999 F.2d 708, (2nd Cir. 1993)(disregarding arguments made in reply and stating that “[a]rguments may not be made for the first time in a reply brief); *Clubside, Inc. v. Valentin*, 468 F.3d 144, 160 (2d Cir. 2006) (“we generally do not consider arguments that are raised for the first time in a reply brief”); *Herbert v. Nat’l Acad. of Scis.*, 974 F.2d 192, 196 (D.C. Cir. 1992) (“This Court, of course, generally refuses to entertain arguments raised for the first time in an appellant’s reply brief.”); *Jurich v. Compass Marine, Inc.*, 906 F. Supp. 2d 1225, 1230 (S.D. Ala. 2012) (“District courts, including this one, ordinarily do not consider arguments raised for the first time on reply”), *Artuso v. Feit*, 2022 WL 17960677 (N.D. Ohio 2022) *Andrade v. American First Finance, Inc.*, 2022 U.S. Dist. Lexis 178670 at *6 (Magistr. N.D. Ca. 1011) (similar); *Lattimore v. Brahmbatt*, 2022 WL 1599326 (W.D. Va. 2022) (refusing to consider matters added in reply brief); *Harrison v. Republic of Sudan*, 838 F.3d 86, 96 (2d Cir. 2016) (argument waived when first raised in reply papers at trial level); *Chevron Corp. v. Donziger*, 325 F. Supp. 3d 371, 379 n.21 (S.D.N.Y. 2018) (same); *Fisher v. Kanas*, 487 F. Supp. 2d 270, 278 (E.D.N.Y. 2007) (same); accord *State Farm Fire & Cas. Co. v. LiMauro*, 103 A.D.2d 514 (N.Y. App. Div. 2d Dep’t 1984), *aff’d*, 65 N.Y.2d 369 (1985) (“It is beyond cavil that raising a new substantive issue of law for the first time in a reply brief is improper.”); *United States v. Diaz*, 533 F.3d 574, 577 (7th Cir 2008) (arguments may not be raised for the first time in a reply brief).

Finally, we note that the Procedural Schedule in this proceeding supports the position that the filing of evidence with Complainant's Reply Brief is wholly improper. The governing schedule is set forth in the Presiding Officer's Order dated February 27, 2024, which states in pertinent part (emphasis in original):

"FURTHER ORDERED that the parties follow this schedule:

May 14, 2024 -- Complainant files brief, proposed findings of fact, and appendix.

June 12, 2024 -- Respondent files opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.

June 27, 2024 -- Complainant files reply brief and responses to proposed findings of fact."

As immediately obvious, the dates for Complainant's brief and Respondent's opposition brief provide for the submission of Appendices. Critically, the date for "Complainant's Reply Brief" conspicuously *does not*.

Accordingly, the Presiding Officer should order that the New Reply Exhibits be stricken or declare that she will not consider the evidence contained therein. She should also strike or ignore the new arguments regarding lost profits and references to such new evidence in the Complainant's reply brief. Specifically, the Presiding Officer should decline to consider Page 8 of Complainant's reply brief and new exhibits Complainant has numbered 55, 56, and 57.

3. In the Alternative, the Presiding Office Must Permit a Surreply.

No remedy short of striking the New Reply Exhibits could correct the injustice done by allowing them into the record. CMA's rebuttal, in whatever form it is made, of the New Reply Exhibits will inevitably suffer from MTL's failure to provide CMA with the information upon which such a rebuttal would be based. But in the event the Presiding Officer elects not to strike the Reply Brief and New Reply Exhibits, Respondent alternatively moves for leave to file a surreply.

Inadequate as it would be, the right to file a surreply is the bare minimum Respondent is entitled to under the law.

The law is explicitly clear that, where a trial court may decline to strike or disregard new arguments or new evidence first presented in a reply brief, it **must** permit the opposing party a reasonable opportunity to respond. Any other course is an abuse of discretion. *See, e.g., Seay v. Tennessee Valley Authority*, 339 F.3d 454, 480-481 (6th Cir. 2003) (holding that the trial judge erred in accepting new evidence in a reply brief “without first affording Plaintiff an adequate opportunity to respond.”) As the courts have explained:

“It is well-settled that a movant cannot raise new issues for the first time in a reply brief because consideration of such issues deprives the non-moving party of its opportunity to address the arguments. ‘[W]hile a district court nonetheless has the discretion to consider an issue raised in a reply brief, or new evidence submitted with a reply, it **must first** give the opposing party a reasonable opportunity to respond to the new argument or evidence. **Failure to do so is an abuse of discretion.**” *Hicks v. City of Millersville*, 2022 U.S. Dist. Lexis 150107 at *21 n.6; 2022 WL 3589489 (M.D. Tenn. 2022)(emphasis added; citations omitted).

Or as the Eleventh Circuit has stated, in reversing a district court decision to consider new material without allowing a surreply:

“When faced with a reply brief that offers new evidence, we, like the Tenth Circuit, conclude that the district court has two permissible courses of action. It can either (1) permit the nonmoving party to file a surreply or (2) refrain from relying on any new material contained in the reply brief. **But it may not preclude the nonmoving party from filing a surreply and then grant summary judgment based on new material** presented only in the reply brief.” *Atlantic Specialty Insurance Co. v. Digit Dirt Worox, Inc.*, 793 Fed Appx. 896, *900; 2019 WL 5704518 (11th Cir. 2019)(emphasis added; citations omitted).

Accord, e.g., *Doebele v. Sprint/United Management Co.*, 343 F.3d 1117, 1139 n.6 (10th Cir. 2003); *Seay v. TVA*, 339 F.3d 454, 481-82 (6th Cir. 2002). In the latter, the Sixth Circuit expressly rejected the lower court’s determination that new matters raised in reply could be considered without a

surreply. Rather, it held, such action in a reply was inconsistent with the federal rules, and in particular inconsistent with F.R.C.P. 56(c).

FMC ALJs likewise permit parties to file a surreply to address improper arguments/evidence. *See, e.g. MSRF v. HMM Company, Ltd.*, Docket 22-20, 2023 WL 4162681 at *1 (ALJ Order June 12, 2023); *MSRF v. Yang Ming Marine Transport Co.*, Docket 22-21, 2023 WL 4623054, *1 (ALJ Order July 14, 2023). As explained above, MTL has in its reply brief and New Reply Exhibits addressed the matter of lost profits, something totally ignored in its opening brief. That omission was part of a pattern: Complainant likewise ignored the Presiding Officer's specific order to provide financial documents, on the grounds that he did not think them relevant (a claim the Presiding Officer had already rejected), and Ms. Solovevya flatly refused to answer questions about MTL's finances at deposition.³ In other words, the New Reply Exhibits the very first documents Complainant has produced that purport to support its claims for damages. Respondent has had no opportunity to address any of the evidence or argument related to these exhibits. If they are not stricken, Respondent must be entitled to address them in a surreply.

CONCLUSION

Accordingly, the Presiding Officer should order that Exhibit_55, Exhibit_56, and Exhibit_57 and the references to/discussion of those documents at Page 8 of Complainant's Reply Brief be stricken.

As stated above, it would at this point be quite unfair for the Presiding Officer to treat a surreply as a sufficient remedy, given that Complainant has expressly refused to provide Respondent with the information necessary for the meaningful response to which Respondent is

³ Complainant's Counsel also participated in CIS's refusal to provide documents or evidence relevant to MTL's alleged damages in response to subpoenas issued by the Presiding Officer.

indisputably entitled. But if the Presiding Officer decides nevertheless to allow the offending exhibits and argument to remain in the record, to be addressed in a surreply, Respondent requests a minimum of seven days (adjusted for holidays if necessary), which it notes is the same amount that was granted to the respondent in *MSRF v. Yang Ming Marine Transport Co.*, Docket 22-21, 2023 WL 4623054, *1 (ALJ Order July 14, 2023) and less than the ten days granted to the respondent in *MSRF v. HMM Company, Ltd.*, Docket 22-20, 2023 WL 4162681 at *1 (ALJ Order June 12, 2023).

Dated: July 3, 2024

Respectfully submitted,

By: /s/ Rebecca A. Fenneman
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CERTIFICATE OF SERVICE

I certify that on the 3rd day of July, 2024, a true and correct copy of the foregoing **MOTION TO STRIKE** was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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